

Strategic Case Study

Predicted Paper 5 - Summer 2026

By Sir Ammar Ahmed

You are a finance and business analyst working in the office of the Chief Financial Officer of Karachi Motor Car Hire Limited (KMCH).

KMCH's Board of Directors is meeting to consider a revised investment proposal from Lioncrest Capital Partners (LCP). The Board must evaluate whether LCP is a suitable investor, whether the proposed valuation is fair, how the investment should be structured, and how growth funds should be allocated without losing control of KMCH's premium brand and family ownership culture.

The Chief Financial Officer has asked you to review the information in the appendices and prepare responses to the requirements set out below.

You should assume that today's date is 20 August 2026. Unless otherwise stated, all amounts are in Pakistani Rupees (Rs) million. You should use the information contained in the pre-seen material and the additional information provided in the appendices to answer the requirements.

Additional information

The following appendices are provided:

Appendix	Description
Appendix 1	Chief Executive Officer's note on LCP proposal and Board concerns
Appendix 2	Indicative term sheet received from Lioncrest Capital Partners
Appendix 3	Valuation, WACC and financial assumptions prepared by the Finance team
Appendix 4	Funding requirements, financing alternatives and dividend policy data
Appendix 5	Strategic growth options and regional acquisition opportunity
Appendix 6	Responsible growth information request from LCP
Appendix 7	Company Secretary and Tax Manager note on transaction matters

Requirements

Question 1 - Lioncrest investment and strategic growth choices

- (a) Evaluate whether Lioncrest Capital Partners would be a strategically suitable investor for KMCH, considering KMCH's growth ambitions, family ownership, funding needs, governance maturity, premium brand and long-term control concerns. (12 marks)
- (b) Evaluate the strategic attractiveness of using the proposed Lioncrest funds for selected growth options, including new-city expansion, IT platform development, corporate leasing growth, motorcycle tourism and acquisition of a smaller regional operator. (12 marks)
- (c) Advise how KMCH should respond to Lioncrest's request for a responsible growth plan covering environmental impact, customer safety, employee welfare and governance reporting. (8 marks)

Total Question 1: 32 marks

Question 2 - Valuation, cost of capital, financing structure and dividend policy

- (a) Calculate KMCH's cost of equity and WACC using CAPM and revised capital-structure assumptions, and explain how the result should be used in valuation and investment appraisal. (8 marks)
- (b) Value KMCH using earnings-based valuation, DCF valuation and adjusted net asset valuation, and advise whether Lioncrest's proposed valuation is reasonable. (16 marks)

(c) Evaluate the financial, strategic and control implications of raising funds through ordinary shares, preference shares, convertible debt or additional bank borrowing, including the impact of investor rights proposed by Lioncrest. (8 marks)

(d) Using the dividend and funding information provided, calculate the impact of maintaining, reducing or suspending dividends on KMCH's external funding need and shareholder wealth, and advise the Board on dividend policy. (12 marks)

Total Question 2: 44 marks

Question 3 - Tax, governance and acquisition due diligence

(a) Discuss income tax and transaction implications of a new share issue, share transfer by existing shareholders, dividend payments, investor transaction costs and possible acquisition of a smaller regional operator. (8 marks)

(b) Recommend the governance, reporting and protection mechanisms that should be agreed with Lioncrest without allowing excessive interference in day-to-day management. (8 marks)

(c) Evaluate the key commercial, financial and operational due diligence matters that KMCH should investigate before acquiring a smaller regional operator, and recommend how post-acquisition integration risks should be managed. (8 marks)

Total Question 3: 24 marks

Grand total: 100 marks

Appendix 1 - Chief Executive Officer's note on LCP proposal and Board concerns

To: Chief Financial Officer

Subject: LCP investment proposal and growth funding options

The Board has received a revised expression of interest from Lioncrest Capital Partners (LCP), the Karachi-based investment fund referred to in the pre-seen material. LCP has followed KMCH for several years and has now indicated that it may be willing to provide growth capital if the Board can agree valuation, investor rights and a credible deployment plan.

The proposal arrives at a sensitive time. KMCH wants to expand beyond its core cities, improve its digital platform, strengthen corporate leasing, explore selected franchise or acquisition opportunities and improve the quality of management reporting. However, the Board is cautious about excessive debt and does not want to lose control of the company's premium service culture.

The family shareholders are not fully aligned. Some directors believe LCP could help KMCH professionalise faster and move towards a more national platform. Others are concerned that a financial investor may push for rapid expansion, higher leverage, aggressive cost reduction or an exit within a relatively short timeframe.

Please prepare advice for the Board. The analysis should not simply state whether the investment amount is attractive. The Board wants to understand strategic fit, valuation, financing structure, dividend implications, governance protections, tax considerations and whether any acquisition-led growth should be pursued carefully.

By Sir Ammar Ahmed, FCA, CFA

Appendix 2 - Indicative term sheet received from Lioncrest Capital Partners

The following summary has been prepared from the non-binding indication of interest received from LCP. The document is not yet a legally binding offer.

Term	Summary
Proposed investment	Rs 1,500 million of new money into KMCH for expansion and platform development.
Proposed shareholding	LCP seeks 40% of the enlarged ordinary share capital after the investment.
Implied valuation	Post-money valuation of Rs 3,750 million and implied pre-money equity valuation of Rs 2,250 million.
Use of funds	New-city expansion, IT platform upgrade, selected acquisition opportunities and working capital support.
Board rights	Two Board seats for LCP if it holds at least 25% of the shares; one observer seat if its holding falls below 25% but remains above 10%.
Reserved matters	LCP approval required for annual budgets, borrowings above agreed limits, major capex, related-party transactions, acquisitions, disposal of major assets, change in dividend policy and issue of new shares.
Exit expectation	LCP expects a liquidity event within five to seven years through sale to a strategic investor, secondary sale, buy-back or possible listing.
Dividend expectation	No fixed dividend requirement, but LCP expects that dividends should not prevent funding of positive-NPV growth plans.
Reporting expectation	Monthly management accounts, operational dashboard, annual audited financial statements within 90 days and quarterly Board packs.
Sustainability expectation	LCP requires a responsible growth plan covering fleet emissions, customer safety, employee welfare and governance reporting.

A member of the Board has asked whether LCP would accept preference shares or convertible instruments instead of ordinary shares. LCP has said it is open to alternatives if its downside is protected and if it can participate in upside value creation.

Appendix 3 - Valuation, WACC and financial assumptions prepared by the Finance team

The Finance team has prepared preliminary valuation assumptions for Board discussion. The calculations have not yet been reviewed by external advisors.

Cost of capital data

Input	Assumption
Risk-free rate based on long-term Government of Pakistan securities	12.0%
Expected market return	19.0%
Proxy listed-company equity beta	1.35
Proxy listed-company debt:equity ratio	35:65
KMCH target debt:equity ratio after investment	40:60
Pre-tax cost of debt for KMCH after the proposed transaction	15.0%
Corporate tax rate	29.0%

Earnings and DCF data

Item	Rs million / multiple
EBITDA for the year ended 31 March 2026	510
Profit after tax for the year ended 31 March 2026	238
One-off restructuring and advisory costs included in 2026 expenses	32
Estimated annual cost that will recur after professionalising the finance, risk and IT functions	(18)
Comparable transport / mobility companies EV/EBITDA multiple	7.5x
Discount for private-company size, liquidity and governance risk	20%
Premium for KMCH's brand strength and higher-margin corporate customer base	10%
Comparable private transaction P/E multiple for local mobility services businesses	10.5x
Net debt at valuation date	920

The Finance team has also prepared the following free-cash-flow forecast before financing flows. The forecast assumes that the company proceeds with a controlled growth plan but excludes the effect of any acquisition of a regional operator.

Rs million	Year 1	Year 2	Year 3	Year 4	Year 5
Free cash flow to firm	385	440	510	585	650
Terminal growth assumption after Year 5					5.0%

Adjusted net asset information

Item	Rs million
Net book value of equity at 31 March 2026	2,180
Excess of independent fleet valuation over carrying amount	410
Increase in value of owned depot land and buildings compared with carrying amount	320
Fair value of internally developed booking platform not recognised in the statement of financial position	180
Potential provision for unresolved insurance and customer claims	(70)
Estimated deferred tax / transaction adjustment on fair-value uplift	(90)

Appendix 4 - Funding requirements, financing alternatives and dividend policy data

The Board has not yet approved a final funding plan. The Finance team has summarised the likely funding requirement if the Board proceeds with a moderate growth plan without over-stretching operations.

Proposed use of funds	Rs million
IT platform upgrade, data architecture and cyber controls	320
Two additional city depots and one satellite collection point	520
Corporate leasing fleet expansion	360
Working capital buffer for larger corporate contracts	180
Initial transaction, advisory and integration reserve	90
Total proposed funding requirement	1,470

The following financing alternatives are under discussion. No decision has been made.

Alternative	Indicative terms
Ordinary shares to LCP	Rs 1,500 million new ordinary share issue for 40% of enlarged ordinary share capital.
Redeemable preference shares	Rs 1,200 million, cumulative dividend of 13.5% per annum, redeemable after six years, limited voting rights except on reserved matters.
Convertible debt from LCP	Rs 1,200 million, cash coupon of 10.5% per annum, convertible after three years at a 20% discount to the next qualified equity valuation, subject to a valuation cap of Rs 4,500 million.
Additional bank borrowing	Rs 1,000 million term loan, floating rate expected around 6-month KIBOR + 3.0%, security over selected fleet and minimum interest cover covenant of 2.8 times.

Dividend policy information

Item	Amount / detail
Forecast profit after tax for the year ending 31 March 2027	310
Current dividend payout policy	40% of profit after tax
Opening cash available for discretionary funding	185
Minimum cash balance desired by the Board	120
Total growth funding requirement before considering 2027 retained earnings	1,470
Estimated transaction costs if LCP investment proceeds	55
Number of ordinary shares currently in issue	25 million

Some family shareholders have historically relied on dividends. LCP has not demanded a fixed dividend but has asked the Board to avoid distributions that would weaken the company's ability to fund approved growth projects or maintain debt covenant headroom.

Appendix 5 - Strategic growth options and regional acquisition opportunity

The Strategy team has prepared the following summary of potential uses of funds. The options are not mutually exclusive, but management capacity is limited and the Board does not want to pursue too many initiatives at once.

Growth option	Background
New-city expansion	Open depots in Islamabad and Faisalabad with premium self-drive and chauffeur services. Requires fleet, trained depot teams, local marketing and corporate relationships.
IT platform development	Upgrade the booking app, customer data platform, pricing engine, telematics integration and reporting dashboard. The current platform is functional but not yet scalable enough for a national footprint.
Corporate leasing growth	Target banks, multinationals, travel agencies and project-based fleet contracts. This can create stable revenue but increases fleet commitment, receivables and service-level obligations.
Motorcycle tourism	Expand guided and self-drive motorcycle packages for domestic and inbound adventure tourism. Strong differentiation potential but higher safety, insurance and seasonal-demand risk.
Acquisition of regional operator	Acquire a smaller operator in the northern tourist corridor to obtain permits, local drivers, customer relationships and depot access. The opportunity is described below.

Regional acquisition opportunity

The acquisition target is a privately owned regional vehicle-rental business operating in Islamabad, Murree and parts of the northern corridor. It has approximately 130 vehicles, two small depots, local tourism relationships and a basic online booking presence. Its owner is considering retirement and has asked for an indicative offer within six weeks.

Item	Information
Revenue for latest year	410
EBITDA for latest year	58
Net assets per management accounts	240
Estimated normalised EBITDA after removing owner salary and one-off repairs	66
Indicative asking price	430
Fleet older than six years	35%
Revenue from top five corporate / travel customers	48%
Booking system	Separate system, no direct integration with KMCH platform
Insurance and accident records	Available but not independently verified
Tax filings and sales tax records	Provided for initial review, but external diligence not yet performed

Appendix 6 - Responsible growth information request from LCP

LCP has asked KMCH to provide a responsible growth plan before proceeding to final investment committee approval. The request is not framed as a formal sustainability report, but LCP has stated that it considers these matters important for risk management and investor confidence.

LCP has asked for information on the following areas:

- fleet fuel consumption, emissions trends and future transition to more efficient vehicles where commercially viable;
- vehicle safety inspections, accident rates, customer complaints and roadside-response arrangements;
- employee turnover, driver and customer-service training, overtime levels and grievance handling;
- customer data privacy, cybersecurity, complaint handling and ethical use of telematics data;
- Board reporting on material operational, financial, safety and people risks;
- controls over franchisees, vendors and acquisition targets if KMCH expands through external partners; and
- avoidance of unsupported environmental claims in marketing material.

The Chief Executive Officer believes the plan should be practical and should not become a public-relations exercise. He is concerned that KMCH should avoid promising a rapid green transition that cannot be delivered commercially or supported by reliable data.

Appendix 7 - Company Secretary and Tax Manager note on transaction matters

The Company Secretary and Tax Manager have prepared the following initial points for the Board. The note is intended only to identify matters requiring further professional review before any transaction documents are signed.

Company and investor governance matters

- The current shareholders' agreement is basic and does not contain detailed provisions for institutional investor rights, reserved matters, deadlock resolution, exit rights or anti-dilution protection.
- Any new ordinary share issue, preference share issue or convertible instrument will require appropriate corporate approvals and amendments to constitutional and shareholder documents.
- The Board should decide which matters require shareholder approval and which should remain within day-to-day management authority.
- LCP has requested enhanced monthly reporting and access to operational information. Management is concerned that reporting should be disciplined but not so detailed that it becomes a substitute for managing the business.

Tax and transaction matters

- A primary issue of new shares into KMCH should be distinguished from a secondary sale of shares by existing shareholders. The cash recipient and tax implications may differ.
- If existing shareholders sell shares to LCP, capital gains tax and documentation of cost and sale consideration will need to be considered.
- Dividend payments may have withholding-tax implications and should be supported by proper Board approval and distributable profits analysis.
- Transaction costs may need to be analysed carefully because some costs may be capital in nature while others may relate to financing or advisory services.
- If KMCH acquires the regional operator, tax due diligence should cover income tax, sales tax, withholding-tax compliance, payroll taxes, pending assessments, unused tax losses, and exposure from unrecorded liabilities.
- Inter-company management charges, technology fees or brand charges after the transaction should be commercially justified and supported by fair-value / arm's-length documentation.

The Tax Manager has recommended that the Board should not structure the transaction only to achieve a tax outcome. The commercial purpose, valuation evidence, legal approvals and accounting treatment should be consistent with the transaction documents.